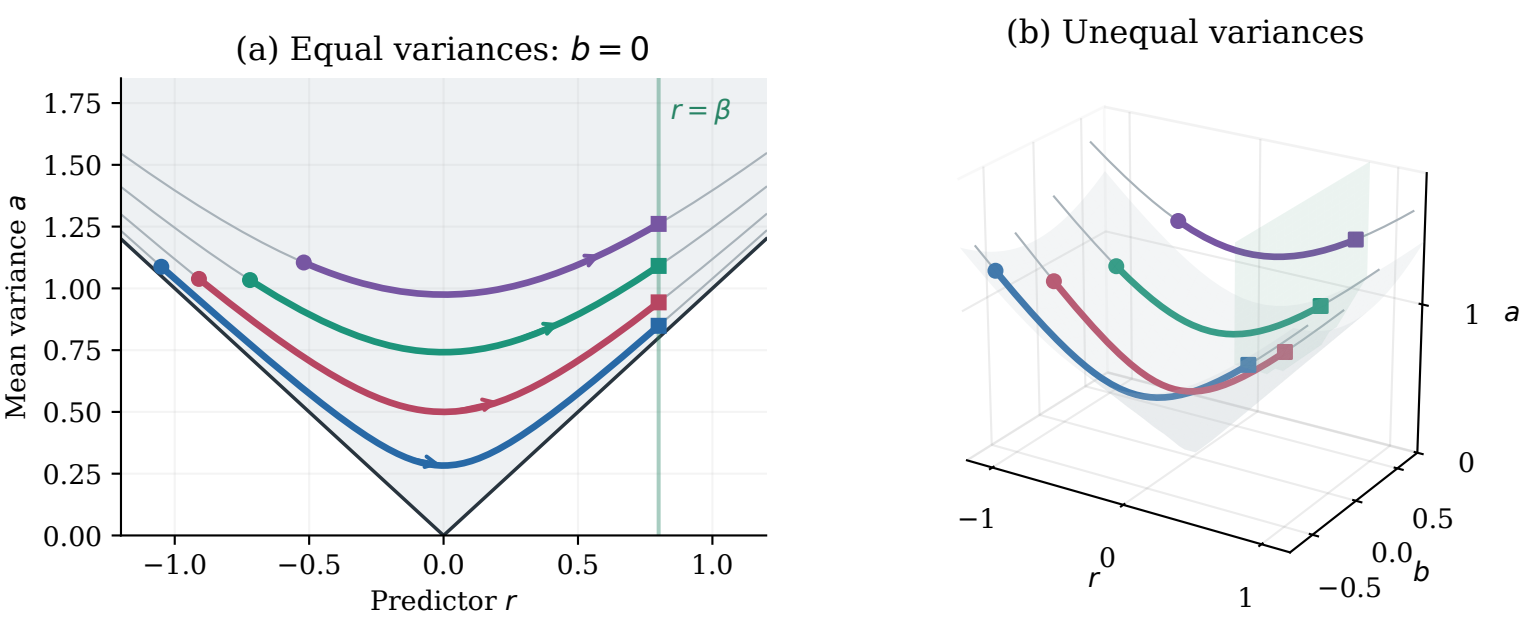
(a) Equal variances: $b = 0$
$r = \beta$
Mean variance a
Predictor r
1.75
1.50
1.25
1.00
0.75
0.50
0.25
0.00
−1.0
−0.5
0.0
0.5
1.0
(b) Unequal variances
a
1
0
r
−1
0
1
b
0.5
0.0
−0.5